

[ISU · INCUBATOR] BUSINESS OPERATIONS TOOLKIT

Running / the business.

Once you've validated, pivoted, and landed a pilot, the business itself gets complex. This is how to **make it visible and runnable** — so it no longer lives only in the founder's head. Direction, structure, and visibility, grounded in the research.

HOW TO READ THIS TOOLKIT

Three layers / one operating system.

A business runs on three stacked layers. **Direction** says where you're going and why. **Structure** decides who does what and how calls get made. **Visibility** tells you, honestly, whether it's working. Most founder chaos comes from a strong layer sitting on a missing one below it.

LAYER 1	Why & what	Direction Where you're going	Mission, vision & values · the business-model view · goals & alignment (OKRs)
LAYER 2	Who & how	Structure How the work is organised	Org design & the founder's role · decision rights · the operating cadence
LAYER 3	Is it working?	Visibility The single source of truth	The metrics that matter · the single source of truth · the learning loop

LAYER 1 · WHY & WHAT

Direction / where you're going.

A team that can't state the mission, the model, and this quarter's goals will optimise for whatever's loudest.
Direction is the cheapest alignment you will ever buy —
and the easiest to skip.

Mission, vision & values

The business-model view

Goals & alignment



TOOL 1.1 · MISSION, VISION & VALUES

Make the / “why” visible

Mission is why you exist; vision is the future you're building; values are how you'll behave getting there. Written down and shared, they let people make good calls without asking you.

— WHAT IT IS

These three are the apex of the operating system: **mission** (your enduring purpose), **vision** (the concrete future state you're driving toward), and **values** (the behavioural guardrails). The most actionable way to capture them is Salesforce's **V2MOM** — Vision, Values, Methods, Obstacles, Measures — because, unlike most frameworks, it forces you to name your **obstacles** and your **values**, not just your goals, and it cascades from the founder to every individual.

— THE QUESTIONS IT ANSWERS

- ◇ What is our **mission** — the reason we exist beyond making money?
- ◇ What **future** are we building, concretely enough to know if we got there?
- ◇ What **values** decide behaviour when no one is watching?
- ◇ What **obstacles** stand between us and the vision (the V2MOM 'O')?

— WHAT "GOOD" LOOKS LIKE

- ✓ A one-page statement every hire can recall
- ✓ Vision is concrete enough to be falsifiable
- ✓ Values are behavioural, not poster slogans
- ✓ It cascades: each person can write their own version

— WHAT NOT TO DO — AND WHY

Treating it as a wall poster, not an operating tool. A Leadership IQ study found only ~15% of employees understand their company's strategy — leaving the rest in compliance, not commitment. Benioff's rule for V2MOM is the fix: it only works with *constant* communication; a beautiful one-pager no one revisits changes nothing.

— V2MOM · BENIOFF / SALESFORCE

VISION	Where we're going
VALUES	How we behave
METHODS	How we get there
OBSTACLES	What's in the way
MEASURES	How we know

■ AEGIS E0

Aegis's V2MOM fit on a page. **Vision:** Earth-observation data becomes a routine input to every property-insurance decision. **Values:** evidence over opinion; privacy by default. **Obstacle named first: PII compliance** — the wall that had killed every prior in-house attempt. Naming it in the V2MOM is why the whole team treated compliance as a design constraint, not an afterthought.

TOOL 1.2 · THE BUSINESS-MODEL VIEW

The business / on one page

Before you can run the business, everyone has to see the same business. The Business Model Canvas puts customers, value, and money on a single page so the whole team shares one picture.

— WHAT IT IS

The **Business Model Canvas** (Osterwalder & Pigneur, from his PhD on business-model ontology) maps nine blocks onto one page: customer segments, value proposition, channels, customer relationships, revenue streams, key resources, key activities, key partners, and cost structure. It's the connective view between your strategy work and your operations — the place where “who we serve,” “what we sell,” and “how we make money” become visible together and their trade-offs become obvious.

— THE QUESTIONS IT ANSWERS

- ◇ Who are our **customer segments**, and which do we serve first?
- ◇ What's the **value proposition** for each, in their words?
- ◇ How does money actually flow — **revenue streams** vs. **cost structure**?
- ◇ Which **key activities, resources, and partners** make it work?

— WHAT "GOOD" LOOKS LIKE

- ✓ The whole model fits on one shared page
- ✓ Customer segments are specific, not 'everyone'
- ✓ Revenue and cost sit side by side, trade-offs visible
- ✓ It's revisited as the model evolves, not framed once

— WHAT NOT TO DO — AND WHY

Mistaking the canvas for a plan. Osterwalder's own guidance: keep early canvases “rough and dirty,” then test them for desirability, feasibility, and viability — a filled-in canvas is a set of *hypotheses*, not facts. Teams that treat it as a finished plan stop testing and defend the boxes instead of the business.

— BUSINESS MODEL CANVAS · 9 BLOCKS



■ AEGIS E0

On Aegis's canvas the blocks reinforced one story: **segment** = DACH mid-market carriers; **value** = faster, evidenced claims; **key partner** = the imagery providers (Maxar/Planet) they already paid; **cost** stayed low because the pilot reused existing data. Seeing it on one page made obvious that **the bottleneck was workflow, not data.**

TOOL 1.3 · GOALS & ALIGNMENT

Goals & alignment / done carefully

Goals turn direction into focus. Used well they align a team around a few outcomes; used carelessly they are, per the research, a prescription-strength drug with serious side effects.

— WHAT IT IS

The dominant tool is **OKRs** (Objectives + Key Results), traceable from Drucker to Grove to Google. The consensus discipline: **3–5 objectives a quarter, 2–4 key results each**, written as **outcomes not activities** (“cut time-to-claim 40%,” not “ship the integration”), reviewed weekly. Stretch KRs target ~60–70% achievement. The deeper skill is choosing *which kind* of goal: performance goals for known work, **learning goals** for uncertain work.

— THE QUESTIONS IT ANSWERS

- ◇ What are the **3–5 outcomes** that matter most this quarter?
- ◇ Is each key result a measurable **change from baseline to target**?
- ◇ Is this a **performance** goal (known) or a **learning** goal (uncertain)?
- ◇ Does every goal trace up to the mission and down to someone's week?

— WHAT "GOOD" LOOKS LIKE

- ✓ A short list — focus, not a wish-list of twenty
- ✓ Outcomes, with baselines and targets
- ✓ Learning goals used where the path is genuinely unknown
- ✓ Reviewed weekly; revised when reality changes

— WHAT NOT TO DO — AND WHY

Over-prescribing hard targets in an uncertain business.

Ordóñez et al., “Goals Gone Wild” (2009) documents six systematic harms of aggressive goals: narrowed focus, distorted risk-taking, unethical behaviour (Sears charged for fake repairs; Enron hit revenue goals into bankruptcy), inhibited learning, eroded culture, lost intrinsic motivation. Their fix for changing environments: prefer **learning goals**, and never let goals become ceilings.

— PERFORMANCE VS. LEARNING GOALS

KNOWN WORK Performance goal — hit the target

UNCERTAIN **Learning goal — discover what works**

Early-stage = mostly uncertain.
Default to learning goals.

■ AEGIS E0

Aegis ran **one** objective for the pilot quarter — “prove EO cuts claim time for one carrier” — with a single learning-oriented key result: the pre-committed **>40% time-to-claim threshold**. Framing it as a learning goal, not a revenue target, kept the team honest about what the pilot was actually for: **evidence, not a number to hit by any means**.

LAYER 2 • WHO & HOW

Structure / how work is organised.

Structure is not a hierarchy chart — it's how decisions get made and how the founder stops being the bottleneck. Get it wrong and everything routes through one inbox.

Org design & the founder's role

Decision rights

The operating cadence

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TOOL 2.1 · ORG DESIGN & THE FOUNDER'S ROLE

Org design / & the founder's role

How you group people — and how the founder's own job changes — determines how fast the company can move as it grows past the founding team.

— WHAT IT IS

Early teams run **flat**; as they grow they adopt a **functional** structure (engineering, product, sales, finance) and later a **matrix** or **divisional** one. The governing principle: **structure should be driven by business goals, not by individuals**. In parallel the founder's role transforms — Ali Rowghani's (YC) three phases: **Doer-in-Chief** (do everything), then **company-builder** at ~20–30 people (deliberately do less, hire leaders better than you), then **capital allocator**.

— THE QUESTIONS IT ANSWERS

- ◇ What functions does the work actually require **right now**?
- ◇ Are we organising around **goals**, or around who we happened to hire?
- ◇ Which phase is the founder in — and what must they **stop** doing?
- ◇ What are the three things the founder **can't** delegate?

— WHAT "GOOD" LOOKS LIKE

- ✓ Structure matches the current stage, not a future fantasy
- ✓ Roles defined by responsibility, not personality
- ✓ Founder consciously shifts from doing to enabling
- ✓ Leadership hires are staggered, not all at once

— WHAT NOT TO DO — AND WHY

Building the org chart around people instead of the work. Designing seats to fit existing personalities locks in yesterday's needs and creates fiefdoms. The other failure is the founder refusing to evolve: Rowghani's warning is that past ~20–30 people, a Doer-in-Chief who won't delegate becomes the ceiling on the company's growth.

— FOUNDER'S 3 PHASES · ROWGHANI / YC

<20 PPL	Doer-in-Chief
20–30+	Company-builder — do less
400+	Capital allocator

Can't delegate: hiring the leadership team, vision, culture.

■ AEGIS E0

Aegis stayed deliberately flat through the pilot — three founders covering product, data/engineering, and commercial. The plan was explicit about the **first non-founder hire**: a compliance/integration lead, because the named obstacle (PII) and the named bottleneck (workflow) defined the seat. **The seat followed the goal, not a résumé.**

TOOL 2.2 · DECISION RIGHTS

Decision rights

Most startup slowness isn't laziness — it's ambiguity about who actually decides. Naming decision rights is how you get speed without losing control.

— WHAT IT IS

Decision rights make explicit who decides what. Two tools combine well: **RACI** (for each decision, who is Responsible, Accountable, Consulted, Informed — with exactly **one** Accountable) and Andy Grove's **six decision questions** (what decision, by when, who decides, who consults, who ratifies, who's informed). Grove's rule: push decisions to the **lowest competent level** — the person with the most direct knowledge — not up the hierarchy by default.

— THE QUESTIONS IT ANSWERS

- ◇ For this decision, who is the **single Accountable** owner?
- ◇ Who must be **Consulted** before, and merely **Informed** after?
- ◇ What's the **lowest competent level** that could own this?
- ◇ By **when** must it be decided, and who can ratify or veto?

— WHAT "GOOD" LOOKS LIKE

- ✓ One Accountable per decision — never two, never zero
- ✓ Routine calls pushed down, not escalated by habit
- ✓ Consulted ≠ consensus; input gathered, owner decides
- ✓ Used live during work, not written once and filed

— WHAT NOT TO DO — AND WHY

Routing everything through the founder — or through consensus. Decision-by-committee feels inclusive but is slow and ownerless; one analysis found routing every change through leadership creates **~40% longer cycle times**. The opposite trap is fake delegation — assigning an owner but overruling them, which teaches everyone to wait for you anyway.

— RACI · ONE DECISION

R	Responsible — does the work
A	Accountable — one owner
C	Consulted — input before
I	Informed — told after

■ AEGIS E0

For the Munich Re pilot, Aegis wrote decision rights down: the **data/eng founder was Accountable** for the integration build; the DPO was **Consulted** on anything touching PII; Group IT was the **ratifier** for go-live. No one waited on a founder huddle to know who owned what — which is how a three-person team moved at the speed the pilot needed.

TOOL 2.3 · THE OPERATING CADENCE

The operating cadence

A business runs on rhythm: a predictable set of meetings and reviews that surface issues and make decisions, so coordination doesn't depend on the founder remembering to check in.

— WHAT IT IS

Grove splits meetings into two kinds: **process-oriented** (regular, predictable — 1:1s, staff meetings, operation reviews; for information flow) and **mission-oriented** (ad-hoc, to force a specific decision; should be <25% of time). Layer a tiered **rhythm** on top — the Scaling-Up/EOS pattern: a short **daily huddle**, a **weekly** tactical meeting (EOS's “Level 10”: review the scorecard, then solve issues), and a **quarterly** planning session. Cadence maps to altitude: weekly tunes tactics, monthly resources, quarterly strategy.

— THE QUESTIONS IT ANSWERS

- ◇ What's our **weekly** meeting — metrics first, then issues?
- ◇ Are recurring meetings truly **regular** (same time, same format)?
- ◇ Are we keeping ad-hoc **decision** meetings rare and well-prepared?
- ◇ Does each cadence tier match its **horizon** — week/month/quarter?

— WHAT "GOOD" LOOKS LIKE

- ✓ A predictable weekly rhythm everyone relies on
- ✓ Meetings start from data, then move to decisions
- ✓ 1:1s treated as high-leverage, not optional
- ✓ Quarterly planning resets priorities, not just reviews them

— WHAT NOT TO DO — AND WHY

Death by meetings — or no rhythm at all. Grove: meetings are a *medium* of work; too many *and* too few both create waste, and arriving unprepared is **negative leverage**. The EOS critique is the other failure — a cadence that becomes a box-ticking chore (a scorecard no one reads) demoralises the team and gets quietly abandoned. Keep it light enough to survive.

— THE CADENCE · BY HORIZON

DAILY	Huddle — blockers
WEEKLY	Tactical — metrics + issues
MONTHLY	Resourcing review
QUARTERLY	Strategy / re-plan

■ AEGIS E0

Even at three people, Aegis ran a **weekly 30-minute review**: look at the one metric that mattered (time-to-claim progress), then surface and assign blockers. The pilot's go/no-go was a single **mission-oriented** meeting at the end, prepared in advance against the pre-set threshold — **rhythm for the run, one decisive meeting for the call**.

LAYER 3 · IS IT WORKING?

Visibility / the single source of truth.

You can't run what you can't see. The last layer makes performance honest and shared — the right few metrics, one place everyone trusts, and a disciplined loop for learning.

The metrics that matter

The single source of truth

The learning loop

3

TOOL 3.1 · THE METRICS THAT MATTER

The metrics / that matter

Most metrics make you feel good and tell you nothing. The job is to track the few that drive decisions — and to pair every metric with a guard against gaming it.

— WHAT IT IS

Split metrics into **vanity** (total users, page views — always go up, drive no decision) and **actionable** (rates and unit economics that change what you do). Anchor on a **North Star Metric** (the one number that best captures delivered value), then watch unit economics with real thresholds: **LTV:CAC ≥ 3** , **CAC payback < 12 months** (Skok), **gross margin 70%+** for SaaS, **net dollar retention $> 100\%$** , and **runway** (raise at 12–18 months left). Grove's safeguard: every metric needs a **paired counter-metric** so optimising one can't quietly wreck another.

— THE QUESTIONS IT ANSWERS

- ◇ What's our **North Star** — the one number that means value delivered?
- ◇ Is each metric a **rate** we can act on, or a vanity total?
- ◇ What's the **paired metric** guarding against gaming this one?
- ◇ Are we reading **cohorts**, not just the flattering aggregate?

— WHAT "GOOD" LOOKS LIKE

- ✓ A North Star plus 2–3 supporting metrics — not twenty
- ✓ Rates and unit economics, not absolute counts
- ✓ Every speed/quantity metric paired with a quality one
- ✓ Cohort analysis used — aggregates can hide decay

— WHAT NOT TO DO — AND WHY

Chasing vanity metrics — or gaming a lone target. “500 users” means nothing; “15% WoW growth” means something. And a single unpaired target invites the exact harm

Goals Gone Wild describes: hit the number, damage the thing it was a proxy for.

Aggregates also lie — overall retention can look flat while every new cohort is decaying.

$\geq 3\times$

LTV : CAC ratio

$< 12\text{mo}$

CAC payback (Skok)

$> 100\%$

net dollar retention

— PAIRED INDICATORS · GROVE

Speed / quantity

+

Quality counter-metric

■ AEGIS E0

Aegis's North Star was deliberately a **value** metric, not a vanity one: **time-to-claim**. Its paired guard was a quality counter-metric — **settlement accuracy** — so the team couldn't “win” by rushing claims into errors. One number for speed, one to make sure speed didn't break the product.

TOOL 3.2 · THE SINGLE SOURCE OF TRUTH

The single / source of truth

Goals, metrics, owners, and milestones have to live in one place everyone trusts — or the business splinters into a dozen out-of-date documents and the founder becomes the only integration point.

— WHAT IT IS

A **single source of truth** is the one shared, current view of the business: goals and their owners, the live scorecard, initiatives and milestones, and open issues. Packaged operating systems supply ready scaffolds — **EOS/Traction** (V/TO, Accountability Chart, Scorecard, Rocks, Level-10) for ~10–100 people; **Scaling Up** (One-Page Strategic Plan, the Four Decisions) for larger or faster. The tool matters less than the discipline: one place, current, owned, and actually used.

— THE QUESTIONS IT ANSWERS

- ◇ Where does the **whole team** look to see goals, owners, and status?
- ◇ Is every goal and metric attached to a **named owner**?
- ◇ Is it **current** — updated on a rhythm, not quarterly archaeology?
- ◇ Do we need a packaged system (EOS / Scaling Up) yet, or one shared doc?

— WHAT "GOOD" LOOKS LIKE

- ✓ One place, trusted, current — not five stale docs
- ✓ Goals → owners → metrics → milestones all linked
- ✓ Updated on the operating cadence
- ✓ Light enough that people actually keep it alive

— WHAT NOT TO DO — AND WHY

Tool-sprawl and the dusty-plan problem. The honest critique of self-run operating systems: the vision becomes “a dusty PDF no one opens,” the scorecard “a fragile spreadsheet,” issues scattered across Slack — and people spend more time managing tools than the business. Two rules: don't **blend** systems (pick one), and don't adopt heavy machinery before the team is big enough to need it.

— ONE SOURCE OF TRUTH · CONTENTS

DIRECTION	Mission / V2MOM
GOALS	Objectives + owners
METRICS	Live scorecard
WORK	Initiatives & milestones
BLOCKERS	Open issues list

■ AEGIS E0

At three people Aegis didn't need EOS — it needed **one shared doc**: the V2MOM at the top, the pilot's single metric and threshold, the RACI for the pilot, and a running issues list. That was the whole source of truth. **The right amount of system is the least that keeps everyone seeing the same business.**

TOOL 3.3 · THE LEARNING LOOP

The learning loop

Founders are still iterating at this stage. The learning loop is the discipline that turns ongoing change into validated progress rather than thrashing — and tells you when to pivot.

— WHAT IT IS

From Lean Startup (Ries): run **Build–Measure–Learn** as the engine, pursue **validated learning** (empirical evidence, not opinion), and track progress with **innovation accounting** — learning milestones, not revenue, when revenue is premature. At each turn, make an explicit **pivot-or-persevere** call against the data. The key distinction: **strategic adaptation** (pivots with clear reasoning, serving a coherent vision) versus **chaos disguised as agility** (pivots that just follow the founder's latest whim).

— THE QUESTIONS IT ANSWERS

- ◇ What **hypothesis** is each cycle actually testing?
- ◇ Are we measuring **validated learning**, or shipping and hoping?
- ◇ Does this change have **clear reasoning** — or is it a whim?
- ◇ Do the data say **pivot or persevere** — and have we decided?

— WHAT "GOOD" LOOKS LIKE

- ✓ Each cycle tests a named hypothesis
- ✓ Progress tracked by learning milestones early on
- ✓ Pivots serve the vision and have stated reasons
- ✓ Persevere decisions are as deliberate as pivots

— WHAT NOT TO DO — AND WHY

Confusing thrashing with agility. “Pivots” that chase the last conversation burn the team and ship nothing — six months in: exhausted, no documentation, massive debt. Real agility changes course on *validated learning* with reasoning that serves a coherent vision; random direction changes are not a strategy, they're the absence of one.

— BUILD–MEASURE–LEARN · RIES



Then decide, on the data:
persevere or **pivot** — never thrash.

■ AEGIS EO

Aegis's pilot was a Build–Measure–Learn loop with innovation accounting: the learning milestone (does EO move time-to-claim?) mattered more than any early revenue. The pre-set thresholds made the **pivot-or-persevere call honest in advance** — clear 40% and persevere to a paid build; fall short and pivot the bet, not just the build. A decision rule, not a vibe.

PUTTING IT TOGETHER

Make the business / visible — then let go.

The three layers stack: Direction without Structure is a nice statement no one acts on; Structure without Visibility is motion you can't steer. Built together, they do one thing — move the business out of the founder's head and into a system the whole team can see and run.

Layer 1

Direction

Mission, the model, and a few real goals. Where you're going and why — visible to everyone.

Layer 2

Structure

Org, decision rights, cadence. How work is organised so the founder isn't the bottleneck.

Layer 3

Visibility

The right metrics, one source of truth, a learning loop. Honest signal on whether it's working.

The point

Let go safely

A visible business is one you can delegate. That's how a founder scales past themselves.

THE EVIDENCE BASE

Sources / & further reading.

This toolkit favours primary sources and peer-reviewed work over vendor blogs. The “what not to do” guidance is anchored in research, not opinion. Aegis EO is a fictional teaching venture; the cautionary cases (Sears, Enron, Ford Pinto) are real and drawn from the cited literature.

Goals Gone Wild (2009)

Ordóñez, Schweitzer, Galinsky & Bazerman. *Academy of Management Perspectives*. The peer-reviewed evidence on goal-setting’s side effects — the “what not to do” spine.

V2MOM

Marc Benioff, Salesforce. Vision, Values, Methods, Obstacles, Measures — the cascading alignment framework.

The Lean Startup (2011)

Eric Ries. Build–Measure–Learn, validated learning, innovation accounting, pivot-or-persevere.

Scaling Up / Rockefeller Habits

Verne Harnish. The Four Decisions (People, Strategy, Execution, Cash) and the One-Page Strategic Plan.

Startup metrics & unit economics

David Skok (Matrix) on CAC payback; consensus practice on vanity vs. actionable metrics, LTV:CAC, burn, runway, cohorts.

High Output Management (1983)

Andy Grove, Intel. Output equation, leverage, process vs. mission meetings, the six decision questions, paired indicators.

Business Model Canvas (2010)

Osterwalder & Pigneur, from Osterwalder’s PhD on business-model ontology. The one-page business view.

EOS / Traction

Gino Wickman. Vision, People, Data, Issues, Process, Traction; Accountability Chart, Scorecard, Rocks, Level-10. For ~10–100 people.

The 3 Stages of a CEO

Ali Rowghani, Y Combinator. Doer-in-Chief → company-builder → capital allocator; what a CEO can’t delegate.

RACI / decision rights

Standard practice (Atlassian; Fast Company). One Accountable per decision; push to the lowest competent level.